

USC Marshall School of Business

ECON 351x – Microeconomics for Business

Syllabus – Fall 2026 –	26349	11:00-12:20pm Mon/Wed	JFF LL105
	26345	12:30-1:50pm Mon/Wed	JFF LL105
	26348	2:00-3:20pm Mon/Wed	JFF LL105
	26004	5:00-6:20pm Mon/Wed	HOH EDI
	26375	6:30-7:50pm Mon/Wed	HOH EDI

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Office Hours (in person): Fridays 3:00pm to 4:30pm (TBD)
Additional hours will be held by the TAs. Time and location TBD

Course Administrator: Marc Choueiti,
Email: econ351@marshall.usc.edu
Phone: 213-821-0915

Course Description

The main goal of this course is to show how microeconomic models can be used to guide business decisions. This is a course designed for business majors, with key departures from standard introductory microeconomics courses. We will study the behavior of consumers and firms, and their implications for demand, supply and market equilibrium. We will analyze competitive markets, market failures, and the role of government. To reflect rising concentration in markets we will spend some time on the implications of market power on firm pricing decisions and profits. The course also introduces basic principles of game theory and competitive strategy.

This course is designed to prepare students for future business courses, including finance, marketing, and strategy. The models, methods, and case studies have been selected with a focus on business relevant applications. For example, the economics of consumer choice underlies much of modern marketing strategy, including pricing, segmentation and advertising. The theory of the firm contributes to a sound understanding of cost accounting as well as production decisions. Economic analysis of intertemporal decisions and behavior in a risky environment form the foundation of finance. Finally, the study of market failure and industrial structure is necessary for an understanding of government's role in a market economy and the political environment for business.

More generally, this course provides a rigorous foundation for the study of decision making problems within firms. The student who successfully completes this course should be able to apply microeconomic analysis to issues of real-world interest within the firm.

Learning Objectives

Upon completion of this course, you will be able to:

1. Apply graphical and algebraic analytical techniques to the analysis of resource allocation through an understanding of economic theories and models.
2. Apply the basic demand-supply market model to goods markets and factor markets by identifying and analyzing the values of equilibrium prices and quantities as determined by market forces.
3. Differentiate and apply different aspects of neoclassical economic theory by examining the dynamics of consumer, firm, and market forces and calculating their impacts.
4. Apply the model of behavior in risky circumstances by calculating expected utility, expected income, and certainty equivalents.
5. Explain the role of game theory in economic models through game-theoretic representations.
6. Explore market power by examining the impact of monopoly and oligopoly on resource allocation.
7. Analyze the impact of various forms of government intervention in markets by calculating the changes in consumer and producer surplus, and deadweight loss.
8. Analyze the impact of asymmetric information on market efficiency through the examples of adverse selection, moral hazard, and financial markets.

Materials

The textbook for this class is “Microeconomics for Business,” by Odilon Câmara and Anthony Marino (2025 Edition, ISBN-13: 979-8878383578), which is available for sale exclusively at Amazon, <https://www.amazon.com/Microeconomics-Business-Odilon-Câmara/dp/B0FD95PGK1>. Amazon only sells the paperback version of the book. This is the most important reading material for this class. Throughout this syllabus, whenever we refer to a chapter number, we are referring to the chapter number of this book.

For students who prefer digital books, we will post on Brightspace (<https://brightspace.usc.edu>) a digital (pdf) copy of the 2024 edition of the book.

Along the semester, we will continue to upload to Brightspace other pdf files with additional required material (slides, practice questions, past exams, etc.). They will not be handed out in class. You are responsible for the timely download of the material.

Prerequisites and/or Recommended Preparation:

Although our focus will be on the intuition behind the microeconomic models and their real-world consequences, the use of mathematics (in particular, algebra and calculus) will be fundamental to analyze and understand such models. For example, you may be asked to draw and interpret graphs representing demand and supply, to solve a system of equations describing a competitive market, or to compute the derivative of a profit function. MATH 118 is a prerequisite for ECON 351x. Therefore, we expect students to have a good understanding of the material covered in that class.

Course Delivery:

This course meets in-person twice a week – it is NOT flipped.

All required material (homework, lecture slides, sample problems, etc.) will be available through Brightspace (<http://brightspace.usc.edu>).

Students are strongly encouraged to ask questions during class and during office hours. Most times it is not feasible to give a comprehensive answer to questions sent via e-mail. If you send a question by e-mail and we believe that it is not feasible to give a satisfactory answer to that question by e-mail, we will ask you to attend office hours.

Teaching Assistant:

We are fortunate to have *Kushaan Agarwal*, *Rishe Jain*, *Selena Jian*, and *Matthew Kung* as our TAs for the course. They will hold office hours in addition to ours. Their office hours will be held in person. Location and time TBD based on room availability. Hours will be announced on Brightspace.

Grading Policies

<u>ASSIGNMENTS</u>	<u>Points</u>	<u>% of Grade</u>
First midterm exam	20	20.0%
Second midterm exam	20	20.0%
Third midterm exam	20	20.0%
Forth midterm exam	20	20.0%
AI Forecast Project	10	10.0%
Homework	10	10.0%
TOTAL	100	100.0%

Exam Dates: (subject to change)

Midterm 1: <i>Monday Sep/14</i>
Midterm 2: <i>Monday Oct/12</i>
Midterm 3: <i>Wednesday Nov/4</i>
Midterm 4: <i>Wednesday Dec/2</i>
AI Forecasting Project: Dates to be announced

In **rare** occasions, the dates of the exams might need to be changed. In that case, We will notify students through Brightspace as soon as possible.

Makeup Tests - There will be no make-up tests. By enrolling in the course you are committing to take the midterms and final on the scheduled dates. If an exam is missed for an approved reason, the weight for that exam will be shifted to the other exams (i.e. so that the other exams will be worth 26.6% each). Approval for a missed exam will be rare, and only with appropriate written documentation from an authoritative source indicating why the student was unable to appear for the exam. Normally, only a doctor's certification of a severe medical problem will suffice.

Homework - We will have 12 graded homework assignments. Each graded homework will be completed via Brightspace and will be worth 1 point (up to the limit of 10 homework points in the semester). The goal of each homework is to check your understanding of the material each week.

Each homework will usually be posted on Brightspace on a Monday evening or Tuesday morning, then it will be due on the **Friday at 11:59pm**. The idea is that we will cover the material during the week, and you will finish the homework by the end of the week.

A student receives 1 point for the homework if the homework is submitted on time (before the due date) **and** the student correctly answered at least half of the questions on the homework. A homework that is submitted late or a homework that does not correctly answer at least half of the questions receives zero points. The homework must be turned in electronically via Brightspace before the due date. Any assignment turned in late, even if by only a few minutes, will not receive the point.

Note that a student may receive at most 10 homework points in the semester, even if they correctly submit all 12 homework assignments. This means that 2 homework assignments are dropped. The goal of this policy is to allow students some flexibility. Sometimes, for different reasons, a student is not able to submit a correctly answered homework on time. In this case, the student can still earn the maximum of 10 homework points in the semester by correctly submitting the other homework assignments on time.

WSJ Future View - Extra credit – The Wall Street Journal has an opinion series that showcases student opinions on timely and important topics and gives students the opportunity to contribute to the national conversation. A few selected articles get published weekly on www.wsj.com/news/types/future-view. If you get selected and showcase insights from the class, you will obtain an extra **10%** credit.

Exams - The four midterms exams (there is no final) are not cumulative. Each exam will only directly test the subject matter covered after the previous exam. Note, however, that some material builds on previous material as we will make clear in class. Anything that is covered in class or the homework is fair game for the exams. If there is something in the text we did not cover, you will not be asked about it.

Final Project – The AI Forecasting project consists of two parts. In each, students will use AI tools to analyze a dataset and make predictions. The project is individual, and students will be evaluated on the accuracy of their predictions. We will provide detailed guidelines later in the course. The goal is to give students a hands-on first experience with data analysis and a chance to apply the concepts of the class in a real-world setting.

Letter Grades - Each course requirement receives a numerical score but not a letter grade. The overall numerical score in the course is converted into a letter grade at the end of the semester in accordance with the Marshall School guidelines. The instructor's evaluation of the performance of each individual student is the final basis for assigning grades. Each student will be given a grade based on the student's performance in class and demonstrated mastery of the course learning objectives.

In the past, students with grades below 60% received either a D or an F (below 50%) in the course. Students with grades between 60% and 70% received a C, 70% and 85% a B, and above 85% an A. However, I emphasize again that these are only rough guidelines – grades will be determined as specified above.

Collaboration policy

Students are permitted and encouraged to discuss their ideas with each other. Homework may be done with others, but I must emphasize that you will not do well in the course if you simply copy the answers from other students.

Exams must be completed individually and independently. Students may not post anything related to the exams outside of Brightspace. Failure to abide by the above guidelines may constitute a case of suspected plagiarism or cheating, which will be reported and investigated. Please see the “Academic Integrity and Conduct” section below for further details. For more information about unauthorized collaboration, visit <https://libraries.usc.edu/tutorial/academic-dishonesty> or http://libphp.usc.edu/tutorials/academic-dishonesty/story_html5.html.

Evaluation of Your Work

You may regard each of your submissions as an “exam” in which you apply what you’ve learned according to the assignment. We will do our best to make expectations for the various assignments clear and to evaluate them as fairly and objectively as we can. If you feel that an error has occurred in the grading of any assignment, you may, within one week of the date the assignment is returned to you, write me a memo in which you request that we re-evaluate the assignment. Explain fully and carefully why you think the assignment should be re-graded. Be aware that the re-evaluation

process can result in three types of grade adjustments: positive, none, or negative.

Returned assignments, unclaimed by a student, will be discarded after 4 weeks; hence, they will not be available should a grade appeal be pursued by a student following receipt of their course grade. All exams will be retained for one year after the end of the course.

COURSE CALENDAR

This is our tentative schedule. When necessary, changes will be announced on Brightspace.

Weeks	Topic	Activities/Assignments	Homework Due Date
Week 1: Aug.24/26	Introduction and Chapter 2 & 4: Math Review and Consumer Choice	- Read the syllabus - Read Chapters 2 and 4 - Complete the math self-assessment on Brightspace	None
Week 2: Aug.31/Sep.2	Chapter 4: Consumption Choices (begin Chapter 9)	- Finish reading Chapter 4 (in-class discussion) - Begin Chapter 9: Uncertainty - Complete the Chapter 4 homework on Brightspace (due Sep.4)	Homework 1 Sep.4 at 11.59 pm
Week 3: Sep.7/9	Chapter 9: Uncertainty	- No class Monday Sep.7 (Labor Day) - Discussion of Chapter 9 - Complete the Chapter 9 homework and course survey on Brightspace (due Sep.11)	Homework 2 Sep.11 at 11.59 pm
Week 4: Sep.14/16	EXAM Midterm 1 Chapter 3 – Part I	First Midterm on Sep.14 Midterm 1 covers Chapters 4 and 9 - Read Chapter 3 (up to 3.4.5) - Complete Chapter 3 – Part I homework on Brightspace (due Sep.18) - AI Project data made available	Homework 3 Sep.18 at 11.59 pm
Week 5: Sep.21/23	Chapter 3: Production Choices Part II (from Section 3.4.6)	- Finish reading Chapter 3 - Discussion of Chapter 3 - Complete the Chapter 3 - Part II homework on Brightspace (due Sep.25)	Homework 4 Sep.25 at 11.59 pm

Weeks	Topic	Activities/Assignments	Homework Due Date
Week 6: Sep.28/30	Chapter 5: Market Equilibrium	• Read Chapter 5 • Discussion of Chapter 5 • Complete the Chapter 5 homework on Brightspace (due Oct.2) • AI Project – Part I due October 2	Homework 5 Oct.2 at 11.59 pm
Week 7: Oct.5/7	Chapter 6: Externalities and Public Goods	• Read Chapter 6 • Complete the Chapter 6 homework on Brightspace (due Oct.9) • Midterm review on Oct.7	Homework 6 Oct.9 at 11.59 pm
Week 8: Oct.12/14	EXAM Midterm 2 Chapter 7: Monopoly	Second Midterm on Oct.12 Midterm 2 covers Chapters 3, 5, and 6 • Read Chapter 7 • Complete the Chapter 7 homework on Brightspace (due Oct.16)	Homework 7 Oct.16 at 11.59 pm
Week 9: Oct.19/21	Chapter 7: Monopoly Chapter 8: Price Discrimination	• Read Chapter 8 • Complete the Chapter 8 homework on Brightspace (due Oct.23)	Homework 8 Oct.23 at 11.59 pm
Week 10: Oct.26/28	Chapter 10: Game Theory I – Static Games	• Read Chapter 10 • Complete the Chapter 10 homework on Brightspace (due Oct.30)	Homework 9 Oct.30 at 11.59 pm
Week 11: Nov.2/4	EXAM Midterm 3	Review on Nov.2 Third Midterm on Nov.4 Midterm 3 covers Chapters 7, 8, and 10	None
Week 12: Nov.9/11	Chapter 11: Game Theory II – Dynamic Games	• No class Wednesday Nov.11 (Veterans Day) • Read Chapter 11	Homework 10 Nov.13 at 11.59 pm

Weeks	Topic	Activities/Assignments	Homework Due Date
		Complete the Chapter 11 homework on Brightspace (due Nov.13)	
Week 13: Nov.16/18	Chapter 11: Dynamic Games Chapter 12: Asymmetric Information	- Read Chapter 12 - Complete the Chapter 12 homework on Brightspace (due Nov.20)	Homework 11 Nov.20 at 11.59 pm
Week 14: Nov.23	Chapter 13: Incentives and Contracts	- No class Wednesday Nov.25 (Thanksgiving) - Read Chapter 13 - Complete the Chapter 12+13 homework on Brightspace (due Nov.27)	Homework 12 Nov.27 at 11.59 pm
Week 15: Nov.30/Dec.2	EXAM Midterm 4	Review on Nov.30 Fourth Midterm on Dec.2 Midterm 4 covers Chapters 11, 12, and 13	None
Finals Week:	AI Project	AI Project – Part II due December 11	

ADDITIONAL INFORMATION

Retention of Graded Coursework

Exams and all other graded work which affected the course grade will be retained for one year after the end of the course if the graded work has not been returned to the student. If we return a graded paper to you, it is your responsibility to file it.

Technology Policy

We do not mind if students use their laptops in the classroom because we know some prefer to take notes this way. However, if a student is not using their laptop for educational purposes, and in particular they are distracting other students, we will ask them to close their laptop for the remainder of the class.

Use of Recordings

Pursuant to the USC Student Handbook (www.usc.edu/scampus, Part B, 11.12), students may not record a university class without the express permission of the instructor and announcement to the class. In addition, students may not distribute or use notes or recordings based on University

classes or lectures without the express permission of the instructor for purposes other than personal or class-related group study by individuals registered for the class. This restriction on unauthorized use applies to all information that is distributed or displayed for use in relationship to the class.

Emergency Preparedness/Course Continuity

In case of a declared emergency if travel to campus is not feasible, the *USC Emergency Information* web site (<http://emergency.usc.edu/>) will provide safety and other information, including electronic means by which instructors will conduct class using a combination of USC's Brightspace learning management system (Brightspace.usc.edu), teleconferencing, and other technologies.

If for some reason we are not able to hold an in-person class on campus, we will try to hold a remote lecture via Zoom. In this case, I will post an announcement and the link information on Brightspace.

AI Policy

In this course, you are allowed to use artificial intelligence (AI)-powered programs in very specific ways to help you with improving your knowledge of the material in the class. AI assistance will not be allowed in exams or any graded activity.

Learning to use AI is an emerging skill, so please keep in mind the following:

1. AI tools are permitted to help you brainstorm topics, recollect material you have seen, or revise work you have already written.
2. If you provide minimum-effort prompts, you will get low-quality results. You will need to refine your prompts to get good outcomes. This will take work.

Proceed with caution when using AI tools and do not assume the information provided is accurate or trustworthy. If it gives you a number or fact, assume it is incorrect unless you either know the correct answer or can verify its accuracy with another source.

The use of generative AI tools (such as ChatGPT or similar programs) is not permitted for completing assignments (unless explicitly allowed like in the AI Forecast project), exams, or any graded work in this course. All submitted work must represent the student's own original effort, analysis, and expression. While AI tools may be helpful for personal study outside of graded tasks, relying on them for coursework will be considered a violation of academic integrity. Students are expected to demonstrate their own critical thinking and mastery of the material without the assistance of generative AI.

Calculator Policy

We will provide students with a calculator for every exam. The calculator will be a basic calculator or a simple scientific calculator, in the sense that it only has one display line

Example of a calculator with one display line (allowed):



Academic Conduct:

Plagiarism – presenting someone else's ideas as your own, either verbatim or recast in your own words – is a serious academic offense with serious consequences. Please familiarize yourself with the discussion of plagiarism in SCampus in Part B, Section 11, "Behavior Violating University Standards" policy.usc.edu/scampus-part-b. Other forms of academic dishonesty are equally unacceptable. See additional information in SCampus and university policies on Research and Scholarship Misconduct.

Students and Disability Accommodations:

USC welcomes students with disabilities into all of the University's educational programs. [The Office of Student Accessibility Services](#) (OSAS) is responsible for the determination of appropriate accommodations for students who encounter disability-related barriers. Once a student has completed the OSAS process (registration, initial appointment, and submitted documentation) and accommodations are determined to be reasonable and appropriate, a Letter of Accommodation (LOA) will be available to generate for each course. The LOA must be given to each course instructor by the student and followed up with a discussion. This should be done as early in the semester as possible as accommodations are not retroactive. More information can be found at osas.usc.edu. You may contact OSAS at (213) 740-0776 or via email at osasfrontdesk@usc.edu.

Student Financial Aid and Satisfactory Academic Progress:

To be eligible for certain kinds of financial aid, students are required to maintain Satisfactory Academic Progress (SAP) toward their degree objectives. Visit the [Financial Aid Office webpage](#) for [undergraduate](#)- and [graduate-level](#) SAP eligibility requirements and the appeals process.

Support Systems:

[Counseling and Mental Health](#) - (213) 740-9355 – 24/7 on call

Free and confidential mental health treatment for students, including short-term psychotherapy, group counseling, stress fitness workshops, and crisis intervention.

[988 Suicide and Crisis Lifeline](#) - 988 for both calls and text messages – 24/7 on call

The 988 Suicide and Crisis Lifeline (formerly known as the National Suicide Prevention Lifeline) provides free and confidential emotional support to people in suicidal crisis or emotional distress 24 hours a day, 7 days a week, across the United States. The Lifeline consists of a national network of over 200 local crisis centers, combining custom local care and resources with national standards and best practices. The new, shorter phone number makes it easier for people to remember and access mental health crisis services (though the previous 1 (800) 273-8255 number will continue to function indefinitely) and represents a continued commitment to those in crisis.

[Relationship and Sexual Violence Prevention Services \(RSVP\)](#) - (213) 740-9355(WELL) – 24/7 on call

Free and confidential therapy services, workshops, and training for situations related to gender- and power-based harm (including sexual assault, intimate partner violence, and stalking).

[Office for Equity, Equal Opportunity, and Title IX \(EEO-TIX\)](#) - (213) 740-5086

Information about how to get help or help someone affected by harassment or discrimination, rights of protected classes, reporting options, and additional resources for students, faculty, staff, visitors, and applicants.

[Reporting Incidents of Bias or Harassment](#) - (213) 740-2500

Avenue to report incidents of bias, hate crimes, and microaggressions to the Office for Equity, Equal Opportunity, and Title for appropriate investigation, supportive measures, and response.

[The Office of Student Accessibility Services \(OSAS\)](#) - (213) 740-0776

OSAS ensures equal access for students with disabilities through providing academic accommodations and auxiliary aids in accordance with federal laws and university policy.

[USC Campus Support and Intervention](#) - (213) 740-0411

Assists students and families in resolving complex personal, financial, and academic issues adversely affecting their success as a student.

[Diversity, Equity and Inclusion](#) - (213) 740-2101

Information on events, programs and training, the Provost's Diversity and Inclusion Council, Diversity Liaisons for each academic school, chronology, participation, and various resources for students.

[USC Emergency](#) - UPC: (213) 740-4321, HSC: (323) 442-1000 – 24/7 on call

Emergency assistance and avenue to report a crime. Latest updates regarding safety, including ways in which instruction will be continued if an officially declared emergency makes travel to campus infeasible.

[USC Department of Public Safety](#) - UPC: (213) 740-6000, HSC: (323) 442-1200 – 24/7 on call

Non-emergency assistance or information.

[Office of the Ombuds](#) - (213) 821-9556 (UPC) / (323-442-0382 (HSC)

A safe and confidential place to share your USC-related issues with a University Ombuds who will work with you to explore options or paths to manage your concern.

[Occupational Therapy Faculty Practice](#) - (323) 442-2850 or otfp@med.usc.edu

Confidential Lifestyle Redesign services for USC students to support health promoting habits and routines that enhance quality of life and academic performance.

OPEN EXPRESSION AND RESPECT FOR ALL

An important goal of the educational experience at USC Marshall is to be exposed to and discuss diverse, thought-provoking, and sometimes controversial ideas that challenge one's beliefs. In this course we will support the values articulated in the USC Marshall "[Open Expression Statement](#)."

Marshall Undergraduate Program Goals and Course Learning Objectives Alignment Table

Learning Goals: In this class, emphasis will be placed on the USC Marshall School of Business learning goals as follows:

Goal	Marshall Program Learning Goal	Course Objectives that support this goal
1	Our graduates will demonstrate critical thinking skills so as to become future-oriented decision makers, problem solvers and innovators. Specifically, students will: 1.1 Students will understand the concepts of critical thinking, entrepreneurial thinking and creative thinking as drivers of innovative ideas (not explicit for this course). 1.2 Critically analyze concepts, theories and processes by stating them in their own words, understanding key components, identifying assumptions, indicating how they are similar to and different from others and translating them to the real world. 1.3 Be effective at gathering, storing, and using qualitative and quantitative data and at using analytical tools and frameworks to understand and solve business problems. 1.4 Demonstrate the ability to anticipate, identify and solve business problems. They will be able to identify and assess central problems, identify and evaluate potential solutions, and translate a chosen solution to an implementation plan that considers future contingencies. 1.5 Students will demonstrate the ability to be accurate, clear, expansive (thorough, detailed) and fair-minded in their thinking.	1-4, 7-8
2	Our graduates will develop people and leadership skills to promote their effectiveness as business managers and leaders in the 21st century's evolving work and organizational structures. Specifically, students will: 2.1 Students will recognize, understand, and analyze the motivations and behaviors of stakeholders inside and outside organizations (e.g., teams, departments, consumers, investors, auditors) 2.2 Students will recognize, understand and analyze the roles, responsibilities and behaviors of effective managers and leaders in diverse business contexts e.g., functionally diverse, culturally diverse, geographically diverse, etc. 2.3 Students will understand factors that contribute to effective teamwork including how to elicit, manage and leverage diverse perspectives and competencies.	8
3	Our graduates will be effective communicators to facilitate information flow in organizational, social, and intercultural contexts. Specifically, students will: 3.1 Identify and assess diverse personal and organizational communication goals and audience information needs. 3.2 Understand individual and group communications patterns and dynamics in organizations and other professional contexts. 3.3 Demonstrate an ability to gather and disseminate information and communicate it clearly, logically, and persuasively in professional contexts.	5
4	Our graduates will demonstrate ethical reasoning skills, understand social, civic, and professional responsibilities and aspire to add value to society. Specifically, students will: 4.1 Understand professional codes of conduct. 4.2 Recognize ethical challenges in business situations and assess appropriate courses of action.	8
5	Our graduates will develop a global business perspective. They will understand how local, regional, and international markets, and economic, social and cultural issues impact business decisions so as to anticipate new opportunities in any marketplace. Specifically, students will: 5.1 Understand how local, regional and global markets interact and are impacted by economic, social and cultural factors. 5.2 Understand that stakeholders, stakeholder interests, business environments (legal, regulatory, competitor) and business practices vary across regions of the world.	1

6	Our graduates will understand types of markets and key business areas and their interaction to effectively manage different types of enterprises. Specifically, students will: 6.1 Demonstrate foundational knowledge of core business disciplines, including business analytics and business economics. 6.2 Understand the interrelationships between functional areas of business so as to develop a general perspective on business management. 6.3 Apply theories, models, and frameworks to analyze relevant markets (e.g. product, capital, commodity, factor and labor markets). 6.4 Show the ability to utilize technologies (e.g., spreadsheets, databases, software) relevant to contemporary business practices.	1-8
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